ENTERTAINMENT LAW IN NIGERIA:
A Foundational Analysis of the Emerging Trends, Sources, Practice, and Precedents

By **Michael Dugeri***

Entertainment offers the image of 'something better' to escape into, or something we want deeply that our day-to-day lives don't provide. Alternatives, hopes, wishes – these are the stuff of utopia, the sense that things could be better
– Richard Dyer, *Only Entertainment*, 2002.

1.1 Introduction

The cultural and creative industries comprise a large and powerful segment of global economic and cultural spheres.[1] These industries refer to aesthetics, identity and goods and services which are underpinned by a full range of intellectual properties. Being knowledge-based, it embodies a wide array of activities that make and circulate sounds, words, and images, design and concepts, or a combination of the above in a physical product. It applies to artistic, creative and copyright works that are identifiable commodities, services, traditional heritage and intellectual properties embodied in geographical indications, trademarks, innovative design rights and patents. In short, the term cultural or creative industries describes the value chain of economic activities of creative enterprises and cultural entrepreneurs, for-profit as well as for non-profit, in the production, distribution and consumption of products related to multimedia/film, advertising and communication services, music, theatre, dance, visual arts and crafts, new product design, festivals, cartoons/ animation, textiles and fashion, (slow) food as well as other high value-added products which are experience-based. The creative industries are distinctive in that they have several transaction networks and income-streams. Global market demand for creative content has risen steadily in recent years. In economic terms, the creative industries are among the fastest growing sectors of the world economy despite the downturn in the global economy caused by the coronavirus pandemic (COVID-19). Hence, understanding their workings to further develop them has become a major project across academia, government, and industry.[2]

Within the growing cultural and creative industries, the Entertainment Industries are a major subsector. Entertainment products circulate widely: people of many cultures spend a great deal of their time engaging voluntarily with entertainment, defining their identities and values through entertainment, and enjoying entertainment products, in what has been described as the '*entertainmentization* of the world'.[3] Entertainment is not a small and isolated cultural phenomenon with little cultural buy-in; it is at the centre of many cultures' self-articulation and understanding, and many people's leisure time: understanding what

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* Michael Dugeri is the author of the book: **ENTERTAINMENT LAW IN NIGERIA: Emerging Trends, Sources, Practice, and Precedents**, (Adcore Consulting: Lagos, 2021). He is available at michaeldugeri@gmail.com || 08036760623

[1] Global trade in creative goods is expanding with average export growth rates of more than 7%, according to a 2019 United Nations Conference on Trade and Development (UNCTAD) report outlining trends in the global creative economy. In 2015 UNCTAD assessed the size of the global market for creative goods at $509 billion.

[2] The United Nations declared 2021 as the International *Year of CREATIVE ECONOMY for Sustainable Development* in recognition of the need to promote sustained and inclusive economic growth, foster innovation and provide opportunities, benefits and empowerment for all and respect for all human rights. The declaration was part of the resolutions of the 74th session of the UN General Assembly (UNGA) held in November 2019.

[3] Wolf, Michael J. *The Entertainment Economy* (Random House: New York, 1999).

'entertainment' is thus means understanding one of the more significant cultural forces.[4] The products of the entertainment industry are ubiquitous, pervading contemporary human society and are consumed daily by billions of people across the globe and in Nigeria. Several people in various parts of Nigeria spend a good part of their waking hours interacting with entertainment contents, video games, consume music through various platforms, watch home films and those created abroad, and socialise with friends, families, associates and even unknown persons online. This clearly shows that the entertainment industry in Nigeria has strong social and economic values with potential for further growth.

Entertainment law is interlaced with various legal fields and covers a variety of areas in the entertainment industry, including film, broadcasting, music, theatre, and publishing. The players are even more varied: performers; their managers and agents; the creators of artistic works; the owners of theatres and festival grounds; broadcasters and publishers, distributors, and advertising agencies; the big brands that use celebrities to endorse their products; and the government as a regulator. Entertainment law serves not only the talent that performs in the entertainment industry but also the production aspects of creating entertainment content, as well as ensuring the sustainability of the industry.

The field of entertainment law is a complex one that spans the subjects of contracts, company law, including accompanying contracts, copyright, litigation and licensing issues, and sometimes other concerns that pertain to employment, securities, competition, and taxation law. Additionally, the entertainment business is made up of many different businesses, each with its own peculiarities. For instance, the film business is different from the television business. The music business is different from the live theatrical performance business. While there are many similarities, the intricacies of each of the businesses can be overwhelming. Entertainment law plays a key role in the entertainment business, including in the areas of business formations, contracts dealing with compilation and synchronisation licenses, brand partnerships, and the exploitation of intellectual property rights, as well as recording, publishing, merchandising, and talent management arrangements.

To the extent that entertainment products and services are a result of creativity, collaboration, hard work, and imagination, entertainment law serves creativity as a business at various stages of a project: development, production, and distribution of the finished products and services. As the entertainment industry continues to grow and expand, and legislation also constantly adapts, so do the individuals and businesses that operate in the industry. Entertainment law will continue to play an important role in the entertainment industry.

1.2 Conceptualising 'Entertainment'

Law's relationship with entertainment has many dimensions, as we will explain in this chapter. Entertainment is defined as the act of diverting, amusing, or causing someone's time to pass agreeably; something that diverts, amuses, or occupies the attention agreeably. At the most fundamental level, anything that stimulates, encourages, or otherwise generates a condition of pleasurable diversion could be called entertainment. The French word *divertissement* perhaps best captures this essence.

[4] Alan Mckee, "Defining Entertainment: An Approach" (2014) 7 *Creative Industries Journal*, 2.

But entertainment can be much more than mere diversion. It is something that is universally interesting and appealing because, when it does what it is intended to do, it moves you emotionally. Although life is full of constraints and disciplines, responsibilities and chores, and a host of things disagreeable, entertainment, in contrast, encompasses activities that people enjoy and look forward to doing, hearing, or seeing. This is the basis of the demand for – or the consumption of – entertainment products and services; this is the primary attribute shared by the many distinct topics – from film, music, sports, broadcast media, to theatre – that are discussed in this book. Entertainment – the cause – is thus obversely defined through its effect: a satisfied and happy psychological state. Yet, somehow, it matters not whether the effect is achieved through active or passive means. Playing the piano can be just as pleasurable as playing the stereo.

Entertainment indeed means so many different things to so many people that a manageable analysis requires sharper boundaries to be drawn. Such boundaries are here established by classifying entertainment activities into industry segments, that is, enterprises or organisations of significant size that have similar technological structures of production and that produce or supply goods, services, or sources of income that are substitutable.

Consequently, *entertainment* is used in this book to refer to the industry that involves the inter-organisational creation and release of performances (narrative or non-narrative, recorded or live) to attract audiences for financial profit rather than for explicitly educational, journalistic, political or advertising goals.[5] Entertainment, in this sense thus, is contrasted with 'leisure' or 'recreation'. Activities, generally participation-based rather than audience-focused, that people practice for pleasure are understood and classified as 'recreation,' and sometimes 'leisure.' The big five of such activities are gambling, sex, alcohol, television, and annual holidays.[6]

There is also a difference in general usage of the term between entertainment as a category, and 'entertaining' as an adjective. Skydiving, golf, and shopping, for example, may be entertaining and enjoyable to many of their participants, but are not generally, industrially, or academically understood or identified as entertainment. Industrial approaches do not include these entertaining recreational activities in their usage of the term 'entertainment.' It is against this background that the definitional approach above is adopted, and which hopefully is in alignment with the readers' intuitive understanding of the concept as a business.

Alan Mckee describes entertainment thus: *entertainment is audience-centred commercial culture. It works as a system driven by audiences, to give them what they want to consume, and it is driven by commercial business models and imperatives. Entertainment is a system that consists of institutions, groups of people, and discourse. Relevant institutions include the companies that produce and distribute entertainment, as well as governments that make policy that affect these processes and NGOs that lobby around particular aspects of entertainment – calling for censorship, or for equity of access. The groups of people involved include the class of creative practitioners as well as audience*s.[7]

The context upon which Alan's position above is based draws from his understanding of entertainment according to key areas where the term is used – industry, consumption, and

[5] See Turow, J. "*A mass communication perspective on entertainment industries"* in J. Curran & M. Gurevitch (Eds.), *Mass Media and Society*, (Routledge: New York, 1991).
[6] Roberts, Kenneth, *The Leisure Industries* (Palgrave Macmillan: New York, 2004).
[7] Alan Mckee, "Defining entertainment: an approach" (2014) 7 *Creative Industries Journal*, 2.

academia. To the extent that this is also the approach that is adopted in this book, the term entertainment will be considered along with these three domains.

1.2.1 Entertainment from the industry's perspective

Economists define Entertainment simply, based on its business model. Similarly, business academics define entertainment as a culture offered for the exchange of money. In this sense thus, it is argued that entertainment tends to be based on building a slate of income-producing projects that continue to generate revenue throughout their lifecycle and provide business continuity.[8] Entertainment seeks to give large audiences what they want and will buy – or, more precisely, what they *will* want and buy at that point in time when the entertainment product is made available to them. As a result, the economics of Entertainment revolves around processes of risk minimalisation, production in established genres, the recycling of successful franchises, and audience testing.[9]

For the people who make it, entertainment is defined primarily by the business model of its production. A clear definition is made in terms of business models – entertainment is that form of culture that is commercial in its orientation, that does not rely primarily on subsidies from government, or patrons and which exists to the extent that there is an audience willing to pay for it. At the same time, it is also recognised that entertainment is audience-centred cultural production, where economics and audience satisfaction are relational.

The definition of entertainment as commercial culture does not remove it from the sphere of interest for governmental policymakers. Policy settings can impact commercial culture – such as the *Argungu Fishing or Dance Festival* in Kebbi State. And even the most purely commercial forms of culture sometimes find state support, although this will typically be in the form of investment from a body promoting tourism or economic development, rather than from an arts body aiming to promote particular forms of culture.

Entertainment, as it is commonly understood today, functions mainly when there exist large audiences with suitable leisure time to consume regularly produced products. And so, the commercialisation of cultural production began in the nineteenth century in those societies that made the transition from feudalism to capitalism. This commercialisation intensified in advanced industrial societies from the early twentieth century onwards. The rise of what today is called the 'Entertainment Industries', as a part of the broader growth in cultural industries, emerged from, and remains bound to the rise of modern working-class culture and audiences.

1.2.2 Entertainment from the perspective of consumption

Consumers distinguish 'entertainment' as a form of culture, which has distinctive textual features; as opposed to the business position than anything can be entertainment if it is produced within a commercial business model. The aesthetic system[10] used by consumers to

[8] Casali, Luca and Tim Mazzarol, *Unpacking the Entrepreneurial Process: a step-by-step guide to a successful venture in the Entertainment Industry* (Tilde Publishing: Prahran, 2011)

[9] Harold L. Vogel, *Entertainment Industry Economics: A Guide for Financial Analysis* (8th Edition) (Cambridge University Press, Cambridge, 2011)

[10] 'Aesthetic System' is used here to mean a set of criteria by which audiences make judgments about the value of a piece of culture.

value entertainment is particularly important because entertainment and its audiences are co-constitutive.

It has been argued that entertainment 'entrepreneurs' in the nineteenth century '*hit upon a formula of elegant simplicity: identify a large audience that is not hereditarily affluent or elite, but that is getting on well enough and that has cultural aspirations, [and] give it what it wants*' This shared culture then helps to create a group, by giving them something in common.[11] The shared consumption of entertainment becomes a common element of a group – an audience – who might not otherwise share a background or everyday practices. These audiences also had to have the capacity to consume new forms of culture. In this sense thus, entertainment was a 'phenomenon of the city'– and in particular, a phenomenon of the urban working class.

All these elements of entertainment as a cultural system emerge from the fact that this is culture made for profit, and thus culture designed to give large audiences what they would want – at least, 'till it stopped selling'. With the development of audiences and genres in place, the industries that would produce and distribute entertainment could grow.

At the very core of why audiences consume entertainment is the satisfaction or 'pleasure' they derive from doing so. Like all cultural production, entertainment products are experience products that have symbolic value – rather than utilitarian products that perform a basic function – and audiences watch a movie, read a comic book, or listen to an album for the experience. As a result, what the everyday man or woman recognises as entertainment is something that provides a pleasurable distraction from his/her 'more important concerns'.

When it comes to entertainment products and services – be it movies, recordings, theme park rides, casino or video games, performing arts events, sports competitions, novels, magazines, or even newspapers – what is actually being purchased is a set of experiences that have deep-seated effects on emotions and psychology. It might thus be broadly said that the entertainment industry is most fundamentally defined as being in the business of providing experiences. In fact, recent studies have indicated that people are happier and derive longer-lasting satisfaction from spending on experiences than on material goods. The experience-selling aspect is the basic common element that all the disparate segments share.

What the entertainment consumer ultimately buys, then, is not so much a theatre ticket or a download of a song, a DVD, or a pay-per-view event, but a set of rights to use, or to *access* to use. Such (often infinitely divisible) rights, at both the wholesale and retail levels, lie at the heart of the business and are the reason that lawyers – to a far greater extent than economists – find such gainful employment opportunities at almost every transactional intersection. However, although the laws that apply in this area have been developed over a long time, there is persistent blurring at the edges and shifting of boundaries, as new forms of content and distribution are always evolving technologically. As a result, the legal frameworks (which in the context of Nigeria are predominantly intellectual property laws) in which all entertainment businesses operate is now constantly challenged and in need of regular updating and review.[12]

[11] Ohmann, Richard, *Selling Culture: Magazines, Markets and Class at the Turn of the Century* (Verso: London and New York, 1996)
[12] L. J. Shrum (Ed.), *The Psychology of Entertainment Media: Blurring the Lines Between Entertainment and Persuasion*, (Lawrence Erlbaum Associates Publishers: New Jersey, 2004).

1.2.3 Entertainment from an academic and policy perspectives

It has been argued that there are two key cultural forces that have influenced why entertainment has not yet been taken up in a coherent way within the academia:

- the attitude of the entertainment industry itself, which has consistently sought to describe the cultural effects of its products as trivial, and has thus contributed to the treatment of its products as trivial; and
- regulatory approach to entertainment, which tends to majorly treat entertainment within the practice of cultural criticism (censorship).

As a result, academic cultural critique has tended simply to exclude entertainment products from serious aesthetic consideration.[13] According to Maltby, "*if we sometimes feel uneasy, even guilty, about taking entertainment seriously, we are merely responding to the forces in our culture that tell us that if we are going to devote our energies to thinking, we should be thinking about something more serious*."[14]

The principal cultural function of criticism is to make judgments of value, and the most authoritative forms of criticism in our culture have not valued entertainment highly. For most of the twentieth century, critical authority saw movies (and most entertainment products) as part of a mass culture it condemned as vulgar, philistine, or lacking in moral seriousness.

Globally, there has been only a little academic attention to 'entertainment' as a cultural category. University teaching and learning of entertainment largely take a sub-sectorial, content-based approach: there are departments and academic journals of, for example, Music, Sports, and Film, and TV. While each of these subsectors comprises a significant segment of the entertainment industries, entertainment is not typically employed as an organising concept—or a term that sees much use—in these academic areas.

1.3 Meaning of Entertainment Law

The term 'law' is used here to refer to a body of rules of action or conduct prescribed by a controlling authority, and having binding legal force. It also means the aggregate of legislation, judicial precedents and accepted legal principles.[15] In another sense, the law is defined as the set of rules dealing with a specific area of the legal system. For instance, entertainment law is the set of laws that applies to the field of entertainment. Another example is property law, which defines people's rights and duties toward tangible property, including real estate (that is, real property, such as land or buildings,) and their other possessions (that is, personal property, such as clothes, books, vehicles, and so forth), and intangible property, such as bank accounts and shares of a company.

Much like any other field of law, entertainment law does not lend itself to a simple definition. This is due, partly, to its sheer vastness. The Black's Law Dictionary defines Entertainment Law as: *the field of law dealing with the legal and business issues in the*

[13] McKee, Alan "The Aesthetic System of Entertainment." In *Entertainment Industries: entertainment as a cultural system* (Taylor and Francis: Abingdon, 2012) pp. 9-19.
[14] Maltby, Richard, *Hollywood Cinema* (Blackwell Publishing, Malden, Oxford, 2003).
[15] Bryan A Garner, *Black's Law Dictionary* (7th Ed, St. Paul, Min, 1999) p. 889

entertainment industry (such as film, music and theatre) and involving the representation of artists and producers, the negotiation of contract and the protection of intellectual property rights.[16]

In most jurisdictions, there is no 'body' of laws specifically about entertainment, in the same way that Criminal Law may be thought of as being those laws concerning criminal offences and Contract Law, those laws concerning the formation and discharge of contractual relations. Instead 'Entertainment Law' denotes an informal amalgamation of those laws that have relevance to those who might be commonly understood as being involved in entertainment, such as copyright law, censorship law, contract law, defamation law and taxation law. This is also the position in Nigeria.

It is to be noted that 'entertainment' and 'media' are not interchangeable terms. There is a lot of media that is not produced by the entertainment industries, or is produced without aiming to entertain an audience. Entertainment also comprises live performance, and a third category of 'experiential' entertainment. For instance, going to a theme park and riding a roller coaster is a physically and emotionally entertaining experience, and it is not best, or even well-understood from within the domain of media studies. "Media" is the main means of, and products of, mass communication. The term "entertainment media" is often used to mean media commodities produced, distributed, marketed, exhibited, and consumed in many different countries, and which intend to provide viewers with amusement and media conglomerates with profit.

Entertainment law is the entire collective mass of legal framework devoted to the entertainment industry. At its basic level, it involves the representation of artists and producers, the negotiations of contract and the protection of intellectual property rights in the creative and entrepreneurial endeavours of businesses and individuals that are into film, music, sport, broadcast media, theatre, publishing, and other creative expressions. Notwithstanding the seeming heavy overlap, entertainment law is indistinguishable from intellectual property law, as entertainment law stretches over various legal fields, such as corporate law, finance, labour and employment law, publicity and privacy, and many others.

1.4 Purpose of Entertainment Law

The purpose of law in any civilised society is to bring order, stability and interdependent consciousness.[17] Entertainment law serves many purposes, some of which include the following:

1.4.1 *Establishing Standards* – Entertainment law provides a guidepost for minimally acceptable standards in the entertainment industry and also for the conduct of persons that operate in the industry. For instance, the Nigeria Broadcast Code represents the minimum standard of broadcasting in Nigeria, as it provides regulations for broadcasters to ensure that broadcasting plays a pivotal role in the social, cultural, technological, economic, and political lives of Nigerians. Censorship laws are also made against what society considers as being necessary for the preservation of its culture and values.

[16] Ibid, p. 553

[17] See N.B.N Ltd v. Savol W.A. Ltd [1994] 3 NWLR (Part 333) 435 at 468 per Justice Pats-Acholonu (JCA)

1.4.2 *Maintaining Order* – This is an offshoot of establishing standards. Some semblance of order is necessary for civil society and is thus reflected in entertainment law. Entertainment law, when applied, provides order consistent with the industry's standards and aspirations. This is the case, for instance, when under the framework that entertainment law provides, contracts are negotiated and concluded; earnings are maximised, and the payment of taxes is managed.

1.4.3 *Resolving Disputes* – Disputes are unavoidable in an industry such as the entertainment industry, which is made up of persons and businesses with different needs, wants, values, and views. Entertainment law provides a formal means for resolving such disputes by means such as the judicial system and alternative disputes resolution options.

1.4.4 *Protecting Rights* – The Constitution and many other laws of Nigeria provide for various liberties and rights. One function of the law is to protect these various liberties and rights from violations or unreasonable intrusions by persons, organisations, or governments. For example, the Constitution grants to everyone freedom of expression and prohibits the government and other entities from infringing upon this right. There is also established under the framework of entertainment law, protection of intellectual property rights. Someone who believes that any of these rights has been infringed upon is entitled to remedy under the law. The remedy may be in the form of compensation to the aggrieved party or penalty for the offending party. The remedy is important as it serves the important function of protecting the industry as a whole against misconduct or unfair competition.

1.5 Basis of Regulation of the Entertainment Industry

Most, if not all, of those involved in entertainment, will at some point be involved in activities that will be regulated or have their parameters defined by various laws. Musicians may be concerned about the copyright in their works and the terms of exploitation of that copyright, film producers will be concerned about the classification of their films and the audiences that their productions will be able to reach, and so on. But intellectual property law, censorship laws and the other laws constituting the body of laws known as entertainment law, apply equally to other activities. For example, copyright and censorship apply equally to academic works.

Regulation involves intervention by the state in areas of economic, social or cultural life according to whatever political norms are characteristic of that nation state. Regulations may emanate from the government, non-government associations, industry associations, religious prescription or by legislative action within a system of representative democracy. Regulations may be administered directly by the government, as is often the case in Nigeria. More commonly, however, regulation is issued by the regulatory agencies of the government.

At its basic level, regulation involves the issuance of permission, that is, the granting of licence to persons and companies to undertake some form of activity that is especially of a commercial nature. This is the case, for instance, when broadcasting organisations are specially licensed by the National Broadcasting Commission (NBC). There is also a form of regulation that is self-imposed and administered by the players in the industry. This is

exemplified with a membership of trade organisations, which among other things, seeks to entrench industry ethics and values in its members.

Private property rights, as we shall examine under chapter three, are always qualified with exceptions and limitations designed to protect the public interest. Likewise, all industries are to some extent controlled by governments—in the sense that entities participating in them must abide by a myriad of rules designed to protect the environment, shield their workers from injury, afford those workers fair opportunities to organise, ensure the viability of their pension plans, and so on. Some industries are subject to qualitatively different levels of supervision. In those fields—conventionally known as 'regulated industries'—the government typically controls much more extensively who enters the business, what goods or services they provide, and what prices they charge.

The entertainment industry in Nigeria also enjoys some form of regulation as we shall later examine in our consideration of broadcast media, sports, film, music, and other artistic expressions. This is in addition to the detailed system of intellectual property laws, which remains a defining feature of the industry.

1.6 Sources of Entertainment Law

Nigeria does not have an overarching entertainment law statute. Instead, the field of entertainment law in Nigeria comprises the various sources of Nigerian law.[18] These include the following:

1.6.1 Nigerian Constitution

In the order of hierarchy, the Constitution comes before any other law or institution in Nigeria. In the case of *Attorney General, Ondo State v. Attorney General, Federation*[19] the Supreme Court of Nigeria emphasised the importance of the Constitution in the following words: *It must be recognised that our Constitution is an organic instrument, which confers power, and also creates rights and limitations. It is the supreme law in which certain first principles of fundamental nature are established… All agencies of government are organs of initiatives whose powers are derived either directly from the Constitution or from laws enacted thereunder. They thus stand in relationship to the Constitution as it permits their existence and functions.*

The Constitution is the law that breathes life into Nigeria's corporate existence, and specifies the structure of government and governance. The current Constitution was enacted on 29 May 1999, inaugurating the Nigerian Fourth Republic. In the field of entertainment, the Constitution specifies which tier of government is responsible for regulating the different fields of entertainment; taxation of entertainers, and their products and services. The Constitution further specifies the courts responsible for settling entertainment industry disputes, such as breach of contract, intellectual property right infringement, etc. Section 39 of the Constitution provides for what qualifies as freedom of artistic freedom (more fully

[18] Nigerian law is complex in scope and substance. Nigeria comprises a federal capital territory and 36 States. Each State has a legal system. The FCT also has its legal system. Additionally, there is a general federal legal system applicable throughout the country. To add to the complexity of the legal system, there is a system of local customs (customary law) for nearly every ethnic nationality in Nigeria; these nationalities numbering about 250.

[19] [2002] 9 NWLR (Part 772) 222 at 418-419

discussed under Chapter 2). This provision is significant as it is at the core of the entertainment industry.

1.6.2 Legislation

Legislation comprises Acts of the National Assembly, Laws of the State Houses of Assembly, and bye-laws of the local government councils. It also includes subsidiary legislations that are based on the principal enactments, such as rules and regulations of the various regulatory agencies. There are several laws that govern the entertainment industry, which will all be considered at appropriate sections of this book. The most notable examples of such laws, however, are Copyright Act[20], Trade Marks Act[21], and Patents and Designs Act[22].

Copyright law protects literary works, artistic works, musical works, cinematograph films, sound recordings and broadcasts and makes it a punishable offence for any person who uses these works without the prior permission of the right holders. Trademark law protects the goodwill of a brand from exploitation by competitors. Hence, logos, signs, marks, company names, record label names, performers' monikers, and, even a performer's stage name, can be protected under the Trade Marks Act.

State laws also form an important source of entertainment law. For instance, the *Entertainment Tax Act*[23] of the Federal Capital Territory (FCT) and the Entertainment and Events Centres Fees Regulations 2014 made pursuant to the Act, provides a framework for the taxation of 'commercial entertainment establishments' in the FCT. Another example is the *Lagos State Lotteries and Gaming Authority Law 2021*, which provides a regulatory framework for the five gaming and lottery formats of casino, jackpot, pool, lotto and sports betting activities in Lagos State.

Nigeria operates a federal system of government, by which the National Assembly is empowered under the Constitution to make laws that are of general application in Nigeria, while the State Houses of Assembly are empowered to legislate for their respective States. In order to avoid a situation of conflict in the laws that are made under such a system, section 4 of the Constitution provides for the specific areas that each legislative organ is competent to legislate upon. While the National Assembly may make laws on matters that fall under what is known as the Exclusive Legislative List and the Concurrent Legislative List, the State Houses of Assembly are only competent to make laws on matters that fall under the Concurrent Legislative List. Section 4 (5) of the Constitution further provides that if any Law enacted by the House of Assembly of a State is inconsistent with any law validly made by the National Assembly, the law made by the National Assembly shall prevail, and that the other Law shall, to the extent of the inconsistency, be void.[24]

There is also an imaginary third list, which Constitutional law lawyers call the 'Residual Legislative List', that is, items that are supposedly left solely for the States to

[20] Cap C28, LFN, 2004
[21] Cap. T13, LFN, 2004
[22] Cap. P2, LFN, 2004
[23] Cap. 498, Laws of the Federal Capital Territory, Abuja – Nigeria, 2007
[24] This brief explanation of the division of legislative power under the 1999 constitution (technically called the *Doctrine of Covering the Field*) is an over simplified way of what, in theory, is complex and a subject of multiple litigations, with attendant effects on businesses and individuals, as later sections of this book will illustrate in the field of entertainment law.

legislate upon. The basis for implying this imaginary Residual List is section 4 (7) of the Constitution, which provides that the State Houses of Assembly can legislate on matters that are not contained in the exclusive list but they can legislate on matters in the concurrent list. Thus, by implication they can also legislate on matters that are not in any of the lists.

The Exclusive Legislative List is set out in Part I of the Second Schedule to the Constitution, while the Concurrent Legislative List is set out in the first column of Part II of the Second Schedule to the Constitution. The items on the Exclusive Legislative List that are most relevant to the entertainment industry are:

- Copyright;
- Patents, trademarks, trade or business names, industrial designs and merchandise marks;
- Trade and commerce, and in particular, registration of business names; and
- Wireless, broadcasting and television other than broadcasting and television provided by the Government of a state; allocation of wave-lengths for wireless, broadcasting and television transmission.

The Concurrent Legislative List contains items such as:

- Imposition of any tax or duty on capital gains, incomes or profits or persons other than companies; and documents or transactions by way of stamp duties; and
- the establishment of an authority with power to carry out censorship of cinematograph films and to prohibit or restrict the exhibition of such films.

Instructively, by paragraph 16 of the first column of Part II of the Second Schedule to the Constitution, notwithstanding a federal law on exhibition and censorship of cinematograph film in any part of the federation, nothing precludes a State House of Assembly from making provision for a similar authority for that State; or authorise the exhibition of a cinematograph film in a State without the sanction of the authority established by the Law of that State for the censorship of such films.

The practical application of this constitutional arrangement sometimes leads to what may appear as multiplicity of laws on the same subject-matter, a situation that has the potential to negatively impact the ease of doing business. A handy example is the regulation of film exhibition and censorship, which is regulated at the Federal level by the National Film and Video Censors Board[25] and in States by local enactments, such as the Lagos State Film and Video Censors Board Law of 2004[26] for Lagos State.

Entertainment companies that are into film and video works operating out of Lagos State are, by the nature of their operations, unable to avoid being subjected to both legal frameworks. A dual licensing regime means double payment of licensing fees and reduced profit margins. Another area that this situation has played out significantly is in the area of taxation, which is more fully discussed under Chapter 5.

[25] National Film and Video Censors Board (Amendment) Act, 2016
[26] The law established the State Film and Video Censors Board (LSFVCB)

1.6.3 Case Law

This refers to the various decisions of the courts that have a bearing on the field of entertainment law. Case law in Nigeria results in part from what is known as 'Judicial precedents' (technically called the doctrine of *stare decisis*). At its basic level, *stare decisis* implies that cases with similar facts will be decided in the same way. In practice, this means that decisions made by courts of higher jurisdiction serve as a guide for courts of lower jurisdiction faced with similar facts. This serves, among other things, to progressively build a body of law around certain human endeavours, and ultimately achieve uniformity and certainty in those areas.

Nigerians are not particularly litigious. Hence case law on entertainment law in Nigeria is sparse. The few cases of *Ransome Kuti v. Phonogram Records (Ghana) Limited*[27] and *Adenuga v. Ilesanmi Press & Sons Limited*,[28] are among the few reported cases. In the former case, the famous Fela Anikulapo Kuti (of blessed memory) assigned the right to his album "everything scatter" to Phonogram Records Nigeria Limited for 3 years with exclusive right to produce and to reproduce the musical work of the artist. In a suit brought by the artist against the parent company for licencing the work to its subsidiary in Ghana without reference to him, the court held that since the owner of copyright in a work has granted an assignment to an Phonogram Records, they received the sole right to produce, reproduce and sell the work anywhere in Africa. In the Adenuga's case, the court held that only an assignee or licensee of the copyright in a work has the right to appropriate or publish such work.

1.6.4 English Law

English law as a source of Nigerian law is categorised into three sub-heads:

- Common law,
- Equitable doctrines, and
- Statutes of General Application that were in force in England on 1 January 1900.

The term 'Common Law' is used in several senses but as a division of Nigeria law, it means the law developed by the old common law courts of England, namely, the King's Bench, the Court of Common Pleas and the Court of Exchequer. Equity is the law developed by the old English Court of Chancery as a result of the rigidity of the common law. Whenever the rules of the common law worked hardship or injustice, the litigant sent a petition to the sovereign as the fountain of justice and the Royal Council. The Judicature Acts of 1873 – 1875 later fused the administration of the common law and equity in England and provided that whenever there was a conflict between the two on the same matter equity was to prevail.

Received English Law became operative in Nigeria by virtue of various local enactments, which mirrored and even simply adopted the common law, the doctrines of equity and Statutes of General Application.[29]

[27] (1976) GLR 220
[28] [1999] 5 NWLR (Part 189) 82
[29] Any English law passed after this date (1 January 1990) was not to qualify as a statute of general application in Nigeria.

1.6.5 Customary law

Customary law refers to a body of customs accepted by members of a Nigerian community as binding among them. Customary law must be distinguished from mere customs or rules of conduct, in that while customary law is binding, principles of behaviour are neither binding nor punishable if breached.

Customary law as a source of Nigerian law is widely accepted and applied in Nigeria. However, this system of law is largely unwritten and so prone to all manner of misinterpretations and misapplication. A measure of checks under the law is thus often required in the recognition of a custom as that has the force of law. The Evidence Act, 2011 provides thus:

> *16. (1) A custom may be adopted as part of the law governing a particular set of admissible circumstances if it can be judicially noticed or can be proved to exist by evidence.*
> *17. A custom may be judicially noticed when it has been adjudicated upon once by a superior court of record.*
> *18. (1) Where a custom cannot be established as one judicially noticed. it shall be proved as a fact.*
> *(2) Where the existence or the nature of a custom applicable to a given case is in issue, there may be given in evidence the opinions of persons who would be likely to know of its existence in accordance with section 73.*
> *(3) In any judicial proceeding where any custom is relied upon. It shall not be enforced as law if it is contrary to public policy or is not in accordance with natural justice, equity and good conscience.*

Customary law is highly dynamic, as it continues to develop. Furthermore, the diversity of ethnic nationalities in Nigeria presupposes the existence of numerous principles of various local customs.

1.6.6 International Law

International law forms part of the laws of Nigeria, but only to the extent that such law is domesticated. Section 12 of the Constitution provides that: *No treaty between the Federation and any other country shall have the force of law to the extent to which any such treaty has been enacted into law by the National Assembly*.[30]

International law refers to the set of acceptable rules, norms, and standards recognised by independent nations as capable of governing relations between them. The body of international law includes international treaties and conventions such as the Universal Declaration of Human Rights and the African Charter on Human and People's Rights, which has been domesticated and is now regarded as a local enactment. The African Charter on Human and People's Rights now forms part of Nigeria's body of statutory law. This is by

[30] The Supreme Court of Nigeria reiterated this position of the law in the case of Abacha v. Fawehinmi [2000] 6 NWLR (Part 660) 228.

virtue of the African Charter on Human and People's Rights (Ratification and Enforcement) Act.[31]

Nigeria is a member of the United Nations, the Commonwealth of Nations, and African Union amongst others and a signatory to various international conventions and covenants. International covenants such as the Berne Convention, the Universal Copyright Convention, the Rome Convention, the World Intellectual Property Organisation (WIPO) Copyright Treaty and the Trade Related Aspect of Intellectual Property Rights (TRIPS), serve as international frameworks for the regulation of entertainment law.[32] International law reflects at any given time the political structure and culture of its environment.

The Berne Convention deals with the protection of works and the rights of their authors. It is based on three basic principles[33] and contains a series of provisions determining the minimum protection to be granted, as well as special provisions available to developing countries that want to make use of them. The WIPO Copyright Treaty (WCT) is a special agreement under the Berne Convention which deals with the protection of works and the rights of their authors in the digital environment. In addition to the rights recognised by the Berne Convention, they are granted certain economic rights. The treaty also deals with the copyright protection of computer programmes (whatever the mode or form of their expression) and compilations of data or other material. Other conventions such as the TRIPS Agreement covers patents, copyrights, trademarks, industrial designs, geographical indications, integrated circuits and undisclosed information.

These Conventions are however not enforceable in Nigeria until they are domesticated as noted earlier. They, however, serve the important function of providing guiding principles for local enactments and a constant source of inspiration in the agitations for improvements in the extant laws.

1.7 The Law and Entertainment

As earlier noted the field of entertainment law is an incredibly complex one that spans the subjects of contracts, company law, intellectual property, taxation, employment, competition law, and sometimes litigation and licensing issues. This section contains highlights of the substantive laws applicable in these different aspects of entertainment law.

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[31] Cap A9, LFN, 2004.

[32] The Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) is Annex 1C of the Marrakesh Agreement Establishing the World Trade Organisation, signed in Marrakesh, Morocco on 15 April 1994. This agreement defines the categories of intellectual property with reference to sections 1 through 7 of Part II of that agreement, namely: copyright and related rights, trademarks, geographical indications, industrial designs, patents, layout-designs (topographies) of integrated circuits and protection of undisclosed information. WTO members might protect undisclosed information under legislation, but also under the equitable action of breach of confidence or using unfair competition principles.

[33] The three basic principles are the following: (a) Works originating in one of the Contracting States (that is, works the author of which is a national of such a State or works first published in such a State) must be given the same protection in each of the other Contracting States as the latter grants to the works of its own nationals (principle of "national treatment") (b) Protection must not be conditional upon compliance with any formality (principle of "automatic" protection) (c) Protection is independent of the existence of protection in the country of origin of the work (principle of "independence" of protection). If, however, a Contracting State provides for a longer term of protection than the minimum prescribed by the Convention and the work ceases to be protected in the country of origin, protection may be denied once protection in the country of origin ceases.

1.7.1 Intellectual Property Law

Intellectual property law grants and protects property rights in works of authorship such as literary works, architectural works, choreographic works, dramatic works, paintings, sculptures, movies, music, sport brands, fine, virtual and performing arts, etc

Intellectual property law serves the important function of incentivising people to develop creative works that benefit society, by ensuring they can profit from their works without fear of misappropriation by others. The law grants certain exclusive rights to encourage those with artistic talent to invest their time, effort, and talent in the creation of works that will help society to progress.

Intellectual property is so central to entertainment that it is often regarded as the industry's primary product. For instance, copyright law and trade mark play a critical role in maintaining the vitality of sports, keeping fans interested and inspired and enhancing value. The promotion and marketing of championships and sporting events, the artistic designs of the logos of sports teams and sports competitions, the literature contained in game-day programmes sold to fans and supporters, the merchandise, and the software of computer and online games are all copyrightable subject matter. Revenues from broadcasting and media rights are often the main source of funds for sports organisations to build stadiums, host sporting events, and carry out community outreach to maintain high levels of interest in the game.

Intellectual property law in Nigeria is built mainly upon the trifecta of the Copyright Act, Trade Marks Act and the Patents and Designs Act. These laws specify a wide range of intellectual property rights, their meaning and nature, and how to benefit from the protection and remedies for those who suffer infringement.

1.7.2 Company Law

Company law is the body of law on matters which derive directly from the life-cycle of a company, such as formation, operation and winding up of business and other corporate matters. Company law also regulates how corporations, investors, shareholders, directors, employees, creditors, and other stakeholders such as consumers, the community, and the environment interact with one another.

Whilst the term company or business law is colloquially used interchangeably with corporate law, business law often refers to wider concepts of commercial law, that is, the law relating to commercial or business related activities. In some cases, this may include matters relating to corporate governance or financial law. When used as a substitute for company law, business law means the law relating to business enterprises, including such activity as raising capital, company formation, and registration with the government.

The Companies and Allied Matters Act 2020 (CAMA) is the principal company law legislation in Nigeria. The Act establishes the Corporate Affairs Commission (CAC)[34] and empowers it to, among other things; administer the CAMA, including the registration, regulation and supervision of the following:

a. the formation, incorporation, management, striking off and winding up of companies,
b. business names, management and removal of names from the register, and

[34] Section 1, CAMA 2020

c. the formation, incorporation, management and dissolution of incorporated trustees.[35]

Registration of corporate entities under the CAMA can take any of the following forms:

1.7.2.1 Sole Proprietorship – This is a business entity where one person owns the business, bears the risk and faces unlimited liabilities of the business. It is cheap to register and easy to manage. Hence it is the form of business entity that is commonly adopted by small and mid-size enterprises (SMEs) and start-ups. This form of business should be considered where one intends to work alone and to have complete control of the business.

1.7.2.2 Partnership: This form of business is formed or owned by two or more persons who contribute resources together to create a business entity. The partners bear the risk and liabilities of the firm equally. They also divide the profit of the business among themselves. A partnership may take the form of a Limited Liability Partnership (LLP), which is a body corporate formed and incorporated under "Part C" of the CAMA. An LLP has a legal entity separate from the partners. The LLP must have at least two partners with one resident in Nigeria.[36]

1.7.2.3 Companies: A company is a form of business organisation that has a separate legal personality from its owners (that is shareholders). It is a legal entity that can sue, be sued, enter into contract, own property, and do virtually anything that a natural being can do, all in its name. Companies registered under the CAMA may take any of the following forms: company limited by shares,[37] company limited by guarantee,[38] or unlimited company.[39]

Company law is an important aspect of entertainment as it governs a significant aspect of corporate entities that operate in the entertainment industry. At the very least, such corporate entities are required by law to be registered with the CAC before they can undertake to do business in Nigeria. Additionally, most entertainment industry laws require that corporate entities be registered with the CAC before applying for registration or licensing. For instance, one of the requirements from the National Film and Video Censors Board (NFVCB) to obtain film distributorship or exhibition licence is company registration with the CAC.[40] Some of the laws also specify minimum share capital requirements[41] for certain companies in the entertainment industry. Share capital registration is also administered by the CAC under the

[35] Section 8, CAMA 2020
[36] See generally sections 726 – 745 CAMA 2020.
[37] This is further divided into Private Limited Liability companies and Public Limited Liability companies. Nearly all companies operating in Nigeria's entertainment company are private limited liability companies.
[38] This is used for corporate entities that are non-profit, and whose objectives are the promotion of educational, religious, sports, or charitable purposes.
[39] This is the opposite of limited liability companies in respect of personal responsibility of the company owners to the debts/liabilities of the company.
[40] See section 9 of the Films and Video Works Regulations 2008
[41] This refers to a share capital requirement that is above the minimum threshold. Section 27(2) CAMA 2020 requires all companies to have a 'minimum share capital' which shall not be less than N100,000 for private companies and N2,000,000 for public companies. A company may later increase its share capital by issuing shares on an as-needed basis.

CAMA. For instance, the Lagos State Lotteries Board[42] specifies a minimum share capital of Twenty Million Naira for companies seeking registration with the Board.

1.7.3 Contract Law

A contract is an agreement between two or more parties that creates mutual legal obligations. Contract law recognises and governs the rights and duties of the parties to the agreement. While much of the laws which regulate contracts in Nigeria are codified common law principles, some specialised legislative enactments such as the Labour Act, Land Use Act, amongst others make up contract law in Nigeria.

The law recognises a property interest in one's creations, be it a film, music, dance, literary or other art. If someone takes this item of intangible property without the owner's permission, the law would recognise that as theft, a crime, and as conversion, a civil wrong for which the true owner of the property can obtain a remedy in law. Receiving an item of value in exchange for the artwork created not only requires the law to recognise the artist's property interest, but it also requires the law to enforce contracts.

As we shall discuss more fully under Part Four (chapters 18, 19 20 and 21), contracting is very important in the entertainment industry. The entertainment industry's primary product is intellectual property, protected by copyrights, trademarks, and the right of publicity. A majority of the terms in entertainment contracts concern the ownership and use of this property.

1.7.4 Labour and Employment Law

Employment law governs the employee-employer relationship. It refers to the body of laws specifying responsibilities and rights in employment relationships, particularly the responsibilities of the employer and the rights of the employee. There are statutory enactments which impact the nature of an employment contract, such as the Labour Act, Trade Dispute Act, Employee's Compensation Act and Trade Union Act. However, employment law in Nigeria is shaped heavily by contract law.

Entertainment business has a unique set of opportunities and challenges when it comes to staffing, labour, and talent engagement, all of which have become increasingly complex in the changing nature of the industry. The operational realities of entertainment ventures can at times be as dynamic and nuanced as the stories, chronicles, and culture they produce. Big industry players constantly strive to grow shrewdly into the ever-changing media landscape by harnessing the promise of gig culture, remote work, and the 'human cloud.' At the same time, a new wave of entrepreneurialism, direct access opportunities, and collaboration culture has thrust an unprecedented number of green, resource-poor, visionaries into the complex maze that is entertainment business, disrupting age-old ideas about how, and with whom, business is done.

While the industry draws on the creativity, skills, professionalism and dedication of the workers, it has a long tradition of insecure work, characterised by unclear contractual

[42] The Lagos State Lotteries and Gaming Authority Law, 2021 regulates and controls every aspect of lotteries including Online Sports Betting (OSB) in Lagos State. See also the National Lottery Regulations 2007 (made pursuant to the National Lottery Regulatory Commission Act 2007) which contain similar provisions.

arrangements and questions over the employment status of its workforce. The trend towards freelance, self-employed or informal economy work in the industry makes it difficult for the workers to rely on statutory enactments for social security. As a result, contract law plays a crucial role in regulating much of what qualifies as employment in the industry.

1.7.5 Competition Law

Competition law (also called antitrust law or anti-monopoly law) promotes or seeks to maintain market competition by regulating anti-competitive conduct by companies. In its various guises, competition law seeks to ensure full and fair competition in the sale of goods and services.[43] In the context of entertainment law, notwithstanding the protection of this wide variety of rights, intellectual property laws typically include many built-in safeguards to maintain the appropriate balance between exclusive control and public access. Examples of these safeguards include the originality requirement, the idea expression dichotomy, durational limits of copyright, the fair dealing or fair use privilege, the exhaustion of rights or first sale doctrine, the parody defence, and the *de minimis* use exception. In light of these safeguards, one may assume that the copyright system adequately accommodates the public interest.

Intellectual property law subjects intellectual assets to the owner's exclusive control. Competition law on the other hand, seeks to avoid market barriers and benefit consumers by ensuring that a multiplicity of suppliers of goods, services and technologies may effectively compete against each other. Competition law may, in particular, address situations in which intellectual property is used to charge excessive prices for or prevent access to protected technologies. The relationship between these two areas of law poses uniquely difficult challenges to policymakers, particularly in a country like Nigeria with little experience in the practice of competition law and policies.[44] Global best practice, however, is to make laws that prevent companies from using intellectual property rights as a license to create a monopoly.

1.7.6 Tax Law

The term "tax" is used here in a broad sense to include any form of monetary imposition by government (or its agency) on the income or profit of individuals or businesses, whether under the name of tax, toll, charge, levy, fee, duty, custom, excise, subsidy, aid, supply, or other name. Tax law is thus to be understood as the body of laws and regulations that impose such taxes, while also providing for the manner of collection, the collecting authority, persons liable, the tax rates and sometimes the uses of the tax collected.

Nigeria does not have a special tax regime for the entertainment industry. Except as may be applicable under tax treaties, the same tax regime applicable to other individuals and businesses apply in the entertainment industry. Some of the common taxes include value added tax, companies income tax, personal income tax, capital gains tax, and a host of other charges, fees, and levies payable for such operational and business needs like licensing, approvals, certifications, etc

[43] Copyright law, however, is one area in which the legislature has decided that ordinary competition should not exist—at least during the copyright term. Thus, copyright, in many respects, is a grant of a limited statutory monopoly.
[44] The Federal Competition and Consumer Protection Act was passed as recently as 2019.

Taxation is necessary for any society for the common good. Once a tax is clearly within the power of the government and passes the necessary constitutional and legal litmus tests, no socio-political, religious, ethnic considerations could serve as a lawful excuse for not paying. Payment of taxes is a constitutional obligation in Nigeria. Section 24(f) of the Constitution of the Federal Republic of Nigeria, 1999 (as amended) provides that it is the duty of every citizen to declare his income honestly to appropriate and lawful agencies and pay his tax promptly.

1.8 Conclusion

In this Chapter, we examined the meaning and nature of the term entertainment and noted that our consideration of the term in this book is in relation to the industries that involve the inter-organisational creation and release of performances (narrative or non-narrative, recorded or live) to attract audiences for financial profit rather than for explicitly educational, journalistic, political, or advertising goals. Entertainment, in this sense, thus, is contrasted with 'leisure' or 'recreation'. The chapter also provided foundational analyses of entertainment law, its sources, the purpose that entertainment law serves in the business of entertainment, and the basis of regulation of the industry. Significantly, the chapter also described the interconnectedness of entertainment law with such other areas like intellectual property law, company law, labour and employment law, and tax law. The introductory nature of this chapter is intended to prepare the reader for the in-depth discussions of weighty legal issues in the entertainment industry, which the other chapters will address.